

GOLD

We understood the long term investment performance of gold earlier. We saw that it is one of the most underperforming asset classes in the long term. However, it is something that is deeply built in the Indian culture and it brings a lot of social and consumption value along with the investment value.

Those looking to buy gold for its social and consumption value shall go ahead with the same. Buying gold should be treated as a financial goal being met. Gold purchased for social and consumption value should form a part of support assets and not an investible portfolio.

Anyone who prefers gold and is ready to accept the low returns can go ahead with it if they have a larger asset base to invest. They must buy gold bonds and not physical gold. Gold can neither replace equity nor debt. As a result, gold should be bought by replacing both equity and debt in the same proportions in which they are present. We will cap the gold investments to a maximum of 10% of the investible portfolio. Gold is not the most optimum long term investment and in the shorter term, it is quite volatile which makes it difficult for us to plan goals using gold as the base asset.

